

IN THE UNITED STATES DISTRICT COURT
FOR THE MIDDLE DISTRICT OF ALABAMA
SOUTHERN DIVISION

UNITED STATES SECURITIES)
AND EXCHANGE)
COMMISSION,)

Plaintiff,)

v.) CASE NO. 1:24-cv-00125-RAH-CWB

JAMES BLAKE DAUGHTRY,)

Defendant.)

FINAL JUDGMENT AND ORDER

Pending before the Court is the United States Securities and Exchange Commission's *Joint Motion to Approve Consent Judgment* (doc. 77), filed on May 12, 2026. Upon review, the Court finds the settlement to be fair, adequate, and reasonable and, as such, the motion (doc. 77) is due to be granted.

Accordingly, and for good cause, it is **ORDERED** as follows:

1. Defendant James Blake Daughtry is permanently restrained and enjoined from violating, directly or indirectly, Section 206(2) of the Investment Advisers Act of 1940 ("Advisers Act") [15 U.S.C. §§ 80b-6(2)] by, while acting as an investment adviser within the meaning of Section 202(a)(11) of the Advisers Act [15 U.S.C. § 80b-2(a)(11)], directly or indirectly, by the use of the mails or any means or instrumentality of interstate commerce engaging in transactions, practices, or courses of business which operate as a fraud or deceit upon a client or prospective client by, directly or indirectly, (i) creating a false appearance or otherwise deceiving any client or prospective client, or (ii) disseminating false or misleading documents, materials, or information or making, either orally or in writing, any false or

misleading statement in any communication with any client or prospective client, about:

- a. any investment strategy or investment in securities,
- b. the prospects for success of any product or company,
- c. the use of client funds,
- d. compensation to any person,
- e. Daughtry's qualifications to advise clients; or
- f. the misappropriation of client funds or investment proceeds;

2. Daughtry is permanently restrained and enjoined from, directly, or indirectly, acting as or being associated with any broker, dealer, or investment adviser. For purposes of this paragraph:

a. A person associated with an investment adviser if such person is a partner, officer, or director of such investment adviser (or performs similar functions), or directly or indirectly controls or is controlled by such investment adviser, including any employee of such investment adviser; and

b. A person is associated with a broker or dealer if such person is a partner, officer, director, or branch manager of such broker or dealer (or occupies a similar status or performs similar functions), directly or indirectly controls, is controlled by, or is under common control with such broker or dealer, or is an employee of such broker or dealer;

3. As provided in Federal Rule of Civil Procedure 65(d)(2), the foregoing paragraphs also bind the following who receive actual notice of this Final Judgment and Order by personal service or otherwise: (a) Daughtry's officers, agents, servants, employees, and attorneys; and (b) other persons in active concert or participation with Daughtry or with anyone described in (a).

4. Daughtry is liable for a civil penalty in the amount of \$50,000 pursuant to Section 209(e) of the Advisers Act [15 U.S.C. §80b-9(e)]. Daughtry shall satisfy this

obligation pursuant to the terms of the payment schedule set forth below. Daughtry may transmit payment electronically to the Commission, which will provide detailed ACH transfer/Fedwire instructions upon request. Payment may also be made directly from a bank account via Pay.gov through the SEC website at <http://www.sec.gov/about/offices/ofm.htm>. Daughtry may also pay by certified check, bank cashier's check, or United States postal money order payable to the Securities and Exchange Commission, which shall be delivered or mailed to:

Enterprise Service Center
Accounts Receivable Branch
6500 South MacArthur Boulevard
Oklahoma City, OK 73169

5. Further, payment shall be accompanied by a letter identifying the case title, civil action number, and name of this Court; James Daughtry as a defendant in this action; and specifying that payment is made pursuant to this Final Judgment and Order.

6. Daughtry shall simultaneously transmit photocopies of evidence of payment and case identifying information to the Commission's counsel in this action. By making this payment, Daughtry relinquishes all legal and equitable right, title, and interest in such funds and no part of the funds shall be returned to Daughtry.

7. The Commission may enforce the Court's judgment for penalties by the use of all collection procedures authorized by law, including the Federal Debt Collection Procedures Act, 28 U.S.C. § 3001 et seq., and moving for civil contempt for the violation of any Court orders issued in this action. Daughtry shall pay post judgment interest on any amounts due after 30 days of the entry of this Final Judgment and Order pursuant to 28 U.S.C. § 1961.

8. The Commission shall hold the funds, together with any interest and income earned thereon (collectively, the "Fund"), pending further order of the Court. The Commission may propose a plan to distribute the Fund subject to the Court's

approval. Such a plan may provide that the Fund shall be distributed pursuant to the Fair Fund provisions of Section 308(a) of the Sarbanes-Oxley Act of 2002. The Court shall retain jurisdiction over the administration of any distribution of the Fund and the Fund may only be disbursed pursuant to an Order of the Court.

9. Regardless of whether any such Fair Fund distribution is made, amounts ordered to be paid as civil penalties pursuant to this Final Judgment and Order shall be treated as penalties paid to the government for all purposes, including all tax purposes. To preserve the deterrent effect of the civil penalty, Daughtry shall not, after offset or reduction of any award of compensatory damages in any Related Investor Action based on Daughtry's payment of disgorgement in this action, argue that he is entitled to, nor shall he further benefit by, offset or reduction of such compensatory damages award by the amount of any part of Daughtry's payment of a civil penalty in this action ("Penalty Offset"). If the court in any Related Investor Action grants such a Penalty Offset, Daughtry shall, within 30 days after entry of a final order granting the Penalty Offset, notify the Commission's counsel in this action and pay the amount of the Penalty Offset to the United States Treasury or to a Fair Fund, as the Commission directs. Such a payment shall not be deemed an additional civil penalty and shall not be deemed to change the amount of the civil penalty imposed in this Final Judgment and Order. For purposes of this paragraph, a "Related Investor Action" means a private damages action brought against Daughtry by or on behalf of one or more investors based on substantially the same facts as alleged in the Complaint in this action.

10. Daughtry shall pay the total penalty of \$50,000 in 2 installments to the Commission according to the following schedule: (1) \$15,000 within 30 days after entry of this Final Judgment and Order; and (2) \$35,000 within 330 days after entry of this Final Judgment and Order. Payments shall be deemed made on the date they are received by the Commission and shall be applied first to post judgment interest,

which accrues pursuant to 28 U.S.C. § 1961 on any unpaid amounts due after 30 days of the entry of Final Judgment and Order. Prior to making the final payment set forth herein, Daughtry shall contact the staff of the Commission for the amount due for the final payment.

11. If Daughtry fails to make any payment by the date agreed and/or in the amount agreed according to the schedule set forth above, all outstanding payments under this Final Judgment and Order, including post-judgment interest, minus any payments made, shall become due and payable immediately at the discretion of the the Commission without further application to the Court;

12. The Consent incorporated herein shall apply with the same force and effect as if fully set forth herein, and that Daughtry shall comply with all of the undertakings and agreements set forth therein;

13. Solely for purposes of exceptions to discharge set forth in Section 523 of the Bankruptcy Code, 11 U.S.C. § 523, the allegations in the Complaint are true and admitted by Daughtry, and further, any debt for disgorgement, prejudgment interest, civil penalty or other amounts due by Daughtry under this Final Judgment and Order or any other judgment, order, consent order, decree or settlement agreement entered in connection with this proceeding, is a debt for the violation by Daughtry of the federal securities laws or any regulation or order issued under such laws, as set forth in Section 523(a)(19) of the Bankruptcy Code, 11 U.S.C. § 523(a)(19);

14. The Court shall retain jurisdiction of this matter for the purposes of enforcing the terms of this Final Judgment and Order; and

15. The Clerk of Court shall administratively close this case.

DONE on this the 20th day of May 2026.



R. AUSTIN HOFFAKER, JR.
CHIEF UNITED STATES DISTRICT JUDGE